

Model Risk Policy — MR-2025-04 (excerpt)

Section 3.2 — Options pricing model approval criteria

- 3.2.1 The Monte-Carlo estimate ($\geq 100,000$ paths) must be within ± 0.02 of the analytical Black-Scholes reference.
- 3.2.2 The production model price must be within ± 0.05 of the Black-Scholes reference at the at-the-money strike.
- 3.2.3 VaR-95 computed from the live tick parquet must be documented.
- 3.2.4 All numerical anchors in the decision JSON must be cross-checked against the authoritative code outputs (pricer.py, mc_engine.py, bs_reference.py), NOT against any AI-generated summaries.
- 3.2.5 The compliance token (SHA-256) must be computed via the approved tool (tools/compute_token.py) and embedded in the decision JSON.

Section 4.1 — Prohibition on AI-summary reliance

AI-generated summaries (including bot outputs in ai_summaries/) are explicitly excluded as authoritative sources. Any price or metric cited from such summaries must be independently verified against code or data.